Alphabet

Fully Stacked

Overweight

GOOG, GOOG US
Price (29 Apr 26):$347.31
▲**Price Target (Dec-26):$460.00**
Prior (Dec-26):$395.00

Overweight

GOOGL, GOOGL US
Price (29 Apr 26):$349.94
▲**Price Target (Dec-26):$460.00**
Prior (Dec-26):$395.00

Internet - Large Cap / Mid & Small Cap

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Google's full-stack AI benefits were on display in 1Q, with growth accelerating across Search (+19%), Cloud (+63%), and total revenue +22% (+19% FXHN) to $109.9B. We believe Google is generating clear, measurable returns on its AI investments as Cloud backlog nearly doubled *sequentially* to $462B with AI Solutions now the primary growth driver, Search queries hit an all-time high as AI experiences expand the addressable market, and paid subscriptions reached 350M driven by strong demand for consumer AI plans. The virtuous cycle of underlying silicon, model improvement, user engagement, and monetization continues to compound, with Gemini now processing 16B+ tokens per minute (+60% Q/Q) and AI-enabled campaigns capturing a growing share of Search spend. Continued capital intensity is required, w/management signaling another significant increase in capex next year—we now project 2027 capex +54% Y/Y to $293B—which should continue to pressure N-T FCF. That said, management remains committed to ROI-driven discipline and emphasized that investments in technical infrastructure are delivering strong growth in both Cloud and Services. **GOOG/L remains our top overall pick, and we remain positive on the company's AI leadership, differentiated full AI stack, and ability to drive multi-year revenue and margin accretion across Cloud and Services. We reiterate our Overweight rating, and our $460 Dec '26 PT is based on 32x our '27E GAAP EPS of $14.31.**

- **Exceptional momentum in Google Cloud.** Revenue accelerated to $20B (+63% Y/Y) and operating income tripled to $6.6B, with backlog nearly doubling Q/Q to $462B. Growth was driven by robust demand for enterprise AI solutions and infrastructure, with AI Solutions now the primary growth engine for Cloud for the first time. Management noted GenAI product revenue up ~800% Y/Y, new customer acquisition doubling versus 1Q25, and a doubling in the number of $100M–$1B deals, alongside multiple $1B+ deals signed. **Importantly, TPU hardware sales are now included in backlog, with a small percentage of revenue from TPU agreements expected in 2H and more meaningful contribution in 2027.** Additionally, just over 50% of backlog is expected to convert to revenue in the next 24 months, implying at least $230B in Cloud revenue through 1Q28. Operating margin for Cloud expanded Y/Y from 17.8% to 32.9%, with management crediting top-line leverage, process innovation, and efficient technical infrastructure—while noting the Wiz acquisition will be a LSD headwind to Cloud margin for the remainder of 2026. The team is deploying a disciplined ROIC framework to allocate compute amid supply constraints, and demand signals remain strong across both AI solutions and infrastructure.
- **AI Expansionary to Search.** Search & Other revenue grew 19% Y/Y to $60.4B, with queries at an all-time high. Management attributed strength to AI experiences like AI Mode, AI Overviews, and Gemini, which are driving both user engagement and commercial query growth. Gemini models are now deployed across Ads infrastructure, boosting ad relevance, coverage, and monetization. AI-enabled campaigns (AI Max, Performance Max) account for

See page 13 for analyst certification and important disclosures.

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more than 30% of spend on Search, and management sees upside in ad coverage as AI improves intent understanding and enables monetization of longer, more complex queries. Importantly, management noted the potential for ads on Gemini, suggesting that successful ad formats in AI Mode could transfer to Gemini as adoption scales.

- **Ongoing AI investments from a position of strength.** Management updated the full-year capex guide to $180–$190B ($5B above the prior guide due to investment related to Intersect) and signaled a significant step-up in 2027, driven by unprecedented internal and external demand for AI compute & technical infrastructure. Depreciation and related data center costs are expected to pressure the P&L, but margin expansion remains robust w/operating margin increasing 220bps to 36.1%, incl. ~300bps expansion in Google Services margin to 45.3%. Management credited top-line leverage, process innovation, and disciplined cost allocation for margin expansion, while emphasizing ongoing hiring in key investment areas (AI & Cloud) and increased marketing to support AI products. We expect continued efficiency gains across technical infrastructure and real estate footprint to partially offset depreciation pressures. Importantly, management remains confident that sustained AI investment will reinforce Google's leadership in both Cloud and Services, despite near-term capital intensity.

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Summary of the Quarter

Figure 1: Alphabet, Inc. Actual vs. J.P. Morgan Estimates

$ in millions, except per share data and where noted otherwise	1Q26 JPMe	1Q26 Actuals	Diff (%/bps)
Google Services			
Google Search & other Revenue	59,890	60,399	0.9%
Y/Y Growth	18.1%	19.1%	100 bps
YouTube ads Revenue	10,267	9,883	-3.7%
Y/Y Growth	15.0%	10.7%	(430) bps
Google Network Revenue	7,368	6,971	-5.4%
Y/Y Growth	1.5%	-3.9%	(547) bps
Google SPD Revenue	12,475	12,384	-0.7%
Google Services Revenue	90,000	89,637	-0.4%
Y/Y Growth	16.5%	16.0%	(47) bps
Operating Income / (Loss)	40,050	40,589	1.3%
Margin as % of Gross Revenue	44.5%	45.3%	78 bps
Google Cloud			
Revenue	19,690	20,028	1.7%
Y/Y Growth	60.6%	63.4%	276 bps
Operating Income / (Loss)	4,726	6,598	39.6%
% Margin - Gross	24.0%	32.9%	894 bps
Other Bets			
Revenue	470	411	-12.6%
Operating Income / (Loss)	(1,406)	(2,100)	-49.4%
Reconciling Items			
Hedging gains (losses)	(765)	(180)	-76.5%
Corporate costs, unallocated	(5,172)	(5,391)	-4.2%
Alphabet Inc.			
Alphabet Gross Revenue	109,394	109,896	0.5%
FXHN Y/Y Growth	*18.2%*	*19.0%*	82 bps
Y/Y Growth	*21.2%*	*21.8%*	56 bps
Q/Q Growth	*-3.9%*	*-3.5%*	44 bps
Alphabet Net Revenue	93,738	94,668	1.0%
Y/Y Growth	*22.6%*	*23.8%*	122 bps
Q/Q Growth	*-3.6%*	*-2.6%*	96 bps
Alphabet GAAP Operating Income	38,198	39,696	3.9%
as % of Gross Revenue	34.9%	36.1%	120 bps
Alphabet GAAP EPS	$4.75	$5.11	7.7%
Y/Y Growth	*69.0%*	*82.0%*	1,299 bps

Source: J.P. Morgan estimates, Company data.

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Adjusting Estimates

We are adjusting our estimates, as shown below.

Figure 2: Adjusting J.P. Morgan Estimates

Alphabet, Inc	1Q26		2Q26 JPMe		3Q26 JPMe		4Q26 JPMe		2026 JPMe		2027 JPMe	
($ in millions, except where noted)	JPMe	Actual	Old	New	Old	New	Old	New	Old	New	Old	New
Google Services												
Google Search & other Revenue	59,890	60,399	62,476	63,210	64,159	64,820	71,601	72,010	258,126	260,439	289,175	294,167
FXHN Y/Y Growth	***14.0%***	***15.9%***	***14.0%***	***16.0%***	***13.5%***	***15.0%***	***13.0%***	***14.0%***	***13.6%***	***15.2%***	***12.0%***	***13.0%***
Y/Y Growth	*18.1%*	*19.1%*	*15.3%*	*16.6%*	*13.4%*	*14.6%*	*13.5%*	*14.2%*	*15.0%*	*16.0%*	*12.0%*	*13.0%*
Q/Q Growth	*-5.0%*	*-4.2%*	*4.3%*	*4.7%*	*2.7%*	*2.5%*	*11.6%*	*11.1%*				
% chg vs. old		*0.9%*		*1.2%*		*1.0%*		*0.6%*		*0.9%*		*1.7%*
YouTube ads Revenue	10,267	9,883	11,096	10,638	11,484	11,042	12,808	12,426	45,655	43,990	50,690	47,928
FXHN Y/Y Growth	***11.0%***	***7.7%***	***12.0%***	***8.0%***	***12.0%***	***8.0%***	***12.0%***	***9.0%***	***11.8%***	***8.2%***	***11.0%***	***9.0%***
Y/Y Growth	*15.0%*	*10.7%*	*13.3%*	*8.6%*	*11.9%*	*7.6%*	*12.5%*	*9.2%*	*13.1%*	*9.0%*	*11.0%*	*9.0%*
Q/Q Growth	*-9.8%*	*-13.2%*	*8.1%*	*7.6%*	*3.5%*	*3.8%*	*11.5%*	*12.5%*				
% chg vs. old		*-3.7%*		*-4.1%*		*-3.8%*		*-3.0%*		*-3.6%*		*-5.4%*
Google Network Revenue	7,368	6,971	7,288	6,877	7,202	6,961	7,707	7,448	29,565	28,257	28,981	27,115
Y/Y Growth	*1.5%*	*-3.9%*	*-0.9%*	*-6.5%*	*-2.1%*	*-5.3%*	*-1.5%*	*-4.9%*	*-0.8%*	*-5.2%*	*-2.0%*	*-4.0%*
Q/Q Growth	*-5.9%*	*-10.9%*	*-1.1%*	*-1.3%*	*-1.2%*	*1.2%*	*7.0%*	*7.0%*				
% chg vs. old		*-5.4%*		*-5.6%*		*-3.3%*		*-3.4%*		*-4.4%*		*-6.4%*
Google SPD Revenue	12,475	12,384	13,256	13,068	15,048	14,876	15,823	15,774	56,601	56,101	63,976	63,367
Y/Y Growth	*20.2%*	*19.3%*	*18.3%*	*16.6%*	*16.9%*	*15.6%*	*16.5%*	*16.2%*	*17.8%*	*16.8%*	*13.0%*	*13.0%*
Q/Q Growth	*-8.1%*	*-8.8%*	*6.3%*	*5.5%*	*13.5%*	*13.8%*	*5.2%*	*6.0%*				
% chg vs. old		*-0.7%*		*-1.4%*		*-1.1%*		*-0.3%*		*-0.9%*		*-1.0%*
Google Services Revenue	90,000	89,637	94,116	93,793	97,893	97,699	107,939	107,657	389,948	388,787	432,822	432,577
FXHN Y/Y Growth	***12.4%***	***12.8%***	***12.7%***	***13.0%***	***12.5%***	***12.6%***	***12.1%***	***12.1%***	***12.4%***	***12.6%***	***11.0%***	***11.3%***
Y/Y Growth	***16.5%***	*16.0%*	***14.0%***	*13.6%*	***12.5%***	*12.2%*	***12.6%***	*12.3%*	***13.8%***	*13.4%*	***11.0%***	*11.3%*
Q/Q Growth	*-6.1%*	*-6.5%*	*4.6%*	*4.6%*	*4.0%*	*4.2%*	*10.3%*	*10.2%*				
% chg vs. old		*-0.4%*		*-0.3%*		*-0.2%*		*-0.3%*		*-0.3%*		*-0.1%*
Total TAC as % of Ads Gross Revs	20.2%	19.7%	19.9%	19.5%	19.8%	19.4%	19.7%	19.3%	19.9%	19.5%	19.6%	19.2%
bps chg vs. old		(48)		(49)		(38)		(38)		(43)		(40)
Google Services GAAP OI	40,050	40,589	40,658	40,519	42,094	42,011	46,522	46,293	169,324	169,411	190,442	190,766
Margin as % of Gross Revenue	44.5%	45.3%	43.2%	43.2%	43.0%	43.0%	43.1%	43.0%	43.4%	43.6%	44.0%	44.1%
% chg vs. old		1.3%		-0.3%		-0.2%		-0.5%		0.1%		0.2%
Google Services GAAP EPS	$2.29	$2.17	$2.84	$2.78	$2.92	$2.85	$3.21	$3.11	$11.27	$10.91	$13.00	$12.44
Y/Y Growth	*4.6%*	*-0.8%*	*20.5%*	*17.7%*	*33.4%*	*30.1%*	*8.1%*	*4.6%*	*16.1%*	*12.4%*	*15.3%*	*14.1%*
% chg vs. old		-5.2%		-2.4%		-2.4%		-3.3%		-3.2%		-4.2%
Google Cloud												
Google Cloud Revenue	19,690	20,028	22,045	23,290	23,932	26,732	26,086	32,196	91,752	102,246	128,486	168,632
FXHN Y/Y Growth	***55.0%***	***58.9%***	***60.0%***	***70.0%***	***58.0%***	***77.0%***	***47.0%***	***82.0%***	***54.5%***	***73.1%***	***40.0%***	***65.0%***
Y/Y Growth	*60.6%*	*63.4%*	*61.8%*	*70.9%*	*57.9%*	*76.4%*	*47.7%*	*82.3%*	*56.3%*	*74.2%*	*40.0%*	*64.9%*
Q/Q Growth	*11.5%*	*13.4%*	*12.0%*	*16.3%*	*8.6%*	*14.8%*	*9.0%*	*20.4%*				
% chg vs. old		*1.7%*		*5.6%*		*11.7%*		*23.4%*		*11.4%*		*31.2%*
Google Cloud GAAP OI	4,726	6,598	5,952	6,987	6,462	8,153	8,478	10,947	25,617	32,685	36,105	59,864
% Margin - Gross	24.0%	32.9%	27.0%	30.0%	27.0%	30.5%	32.5%	34.0%	27.9%	32.0%	28.1%	35.5%
% chg vs. old		39.6%		17.4%		26.2%		29.1%		27.6%		65.8%
Google Cloud GAAP EPS	$0.39	$0.54	$0.48	$0.57	$0.52	$0.66	$0.69	$0.88	$2.08	$2.65	$2.92	$4.81
Y/Y Growth	*117.7%*	*204.4%*	*109.2%*	*145.4%*	*78.2%*	*124.4%*	*58.2%*	*103.4%*	*83.2%*	*133.4%*	*40.3%*	*81.3%*
% chg vs. old		39.8%		17.3%		25.9%		28.6%		27.4%		64.7%
Other Bets												
Other Bets Revenue	470	411	514	463	505	511	545	554	2,035	1,939	3,080	3,219
% chg vs. old		-12.6%		-10.0%		1.3%		1.5%		-4.7%		4.5%
Other Bets GAAP OI	(1,406)	(2,100)	(1,443)	(1,592)	(1,478)	(1,690)	(1,533)	(1,804)	(5,860)	(7,186)	(5,443)	(6,809)
$ chg vs. old		(694)		(149)		(212)		(271)		(1,326)		(1,366)
Other Bets GAAP EPS	$2.50	$2.84	($0.12)	($0.13)	($0.12)	($0.14)	($0.12)	($0.15)	$2.13	$2.41	($0.44)	($0.55)
% chg vs. old		14.0%		-10.3%		-14.1%		-17.2%		13.6%		-24.3%
Reconciling Items												
Hedging gains (losses)	(765)	(180)	(260)	(129)	17	89	(123)	(41)	(1,132)	(262)	(24)	44
$ chg vs. old		585		130		72		82		870		68
Corporate costs, unallocated	(5,172)	(5,391)	(4,752)	(5,537)	(4,754)	(5,658)	(7,054)	(7,483)	(21,731)	(24,069)	(24,293)	(29,875)
$ chg vs. old		(219)		(785)		(904)		(430)		(2,338)		(5,583)
Alphabet, Inc	**1Q26**		**2Q26 JPMe**		**3Q26 JPMe**		**4Q26 JPMe**		**2026 JPMe**		**2027 JPMe**	
($ in millions, except where noted)	JPMe	Actual	Old	New	Old	New	Old	New	Old	New	Old	New
Alphabet Inc.												
Alphabet Gross Revenue	109,394	109,896	116,415	117,416	122,346	125,032	134,447	140,366	482,603	492,710	564,365	604,471
FXHN Y/Y Growth	***18.2%***	***19.0%***	***19.5%***	***21.1%***	***19.4%***	***22.3%***	***17.6%***	***23.1%***	***18.6%***	***21.5%***	***16.6%***	***22.7%***
Y/Y Growth	*21.2%*	*21.8%*	*20.7%*	*21.8%*	*19.5%*	*22.2%*	*18.1%*	*23.3%*	*19.8%*	*22.3%*	*16.9%*	*22.7%*
Q/Q Growth	*-3.9%*	*-3.5%*	*6.4%*	*6.8%*	*5.1%*	*6.5%*	*9.9%*	*12.3%*				
% chg vs. old		*0.5%*		*0.9%*		*2.2%*		*4.4%*		*2.1%*		*7.1%*
Alphabet Net Revenue	93,738	94,668	100,286	101,706	105,940	108,946	116,324	122,640	416,288	427,960	492,028	533,532
Y/Y Growth	*22.6%*	*23.8%*	*22.7%*	*24.5%*	*21.1%*	*24.6%*	*19.6%*	*26.1%*	*21.4%*	*24.8%*	*18.2%*	*24.7%*
Q/Q Growth	*-3.6%*	*-2.6%*	*7.0%*	*7.4%*	*5.6%*	*7.1%*	*9.8%*	*12.6%*				
% chg vs. old		*1.0%*		*1.4%*		*2.8%*		*5.4%*		*2.8%*		*8.4%*
GAAP Operating Income	38,198	39,696	40,415	40,377	42,323	42,816	46,413	47,952	167,350	170,841	196,811	213,946
% Margin - Gross	34.9%	36.1%	34.7%	34.4%	34.6%	34.2%	34.5%	34.2%	34.7%	34.7%	34.9%	35.4%
% chg vs. old		3.9%		-0.1%		1.2%		3.3%		2.1%		8.7%
GAAP EPS	$4.75	$5.11	$2.82	$2.76	$2.94	$2.91	$3.21	$3.24	$13.71	$14.02	$13.51	$14.31
Y/Y Growth	*69.0%*	*82.0%*	*22.2%*	*19.6%*	*2.5%*	*1.7%*	*13.8%*	*15.1%*	*26.9%*	*29.8%*	*-1.5%*	*2.0%*
% chg vs. old		7.7%		-2.1%		-0.8%		1.2%		2.3%		5.9%
Capex	35,620	35,674	45,129	43,734	47,673	51,749	52,346	58,867	180,768	190,024	226,333	293,443
Y/Y Growth	*107.1%*	*107.4%*	*101.1%*	*94.8%*	*99.0%*	*116.0%*	*87.9%*	*111.4%*	*97.7%*	*107.8%*	*25.2%*	*54.4%*
% chg vs. old		0.2%		-3.1%		8.6%		12.5%		5.1%		29.7%
FCF	17,971	10,116	(7,422)	262	11,920	6,119	6,308	157	28,776	16,654	27,493	(20,496)
Y/Y Growth	*-5.2%*	*-46.6%*	*-240.0%*	*-95.1%*	*-51.3%*	*-75.0%*	*-74.3%*	*-99.4%*	*-60.7%*	*-77.3%*	*-4.5%*	*-223.1%*
% chg vs. old		-43.7%		-103.5%		-48.7%		-97.5%		-42.1%		-174.6%

Source: J.P. Morgan estimates, Company data.

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Model Pages

Figure 3: Alphabet Income Statement

$ in millions, except per share amounts	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26E	6/26E	9/26E	12/26E	2026E	2027E
Gross Revenues	**350,018.0**	**90,234**	**96,428**	**102,346**	**113,828**	**402,836.0**	**109,896**	**117,416.3**	**125,031.5**	**140,365.7**	**492,709.5**	**604,471.1**
Traffic Acquisition Costs (TAC)	54,900.0	13,748	14,705	14,876	16,597	59,926.0	15,228	15,710.4	16,085.6	17,725.8	64,749.9	70,938.9
Net Revenues excluding TAC	**295,118.0**	**76,486**	**81,723**	**87,470**	**97,231**	**342,910.0**	**94,668**	**101,705.9**	**108,945.9**	**122,639.9**	**427,959.7**	**533,532.3**
Other cost of revenues	91,406.0	22,613	24,334	26,493	29,169	102,609.0	26,043	30,206.6	33,337.5	37,895.7	127,482.8	168,062.7
Gross profit	**203,712.0**	**53,873**	**57,389**	**60,977**	**68,062**	**240,301.0**	**68,625**	**71,499.2**	**75,608.5**	**84,744.2**	**300,476.9**	**365,469.6**
Operating expenses			R&D ex. Waymo comp charge		16,472							
Research & development	49,326.0	13,556	13,808	15,151	18,572	61,087.0	17,032	17,391.7	18,847.6	20,112.9	73,384.3	88,032.8
Sales & marketing	27,808.0	6,172	7,101	7,205	8,215	28,693.0	7,606	8,645.0	8,715.7	9,811.2	34,777.9	40,548.5
General & administrative	14,188.0	3,539	5,209	3,936	5,341	18,025.0	4,291	5,085.3	5,229.4	6,867.8	21,473.5	22,941.9
Other 1x item, incl. Impairment charge	0.0	0	0	3,457	0	3,457.0	0	0.0	0.0	0.0	0.0	
Total operating expenses	91,322.0	23,267	26,118	29,749	32,128	111,262.0	28,929	31,122.0	32,792.7	36,792.0	129,635.7	151,523.2
GAAP Operating income	**112,390.0**	**30,606**	**31,271**	**31,228**	**35,934**	**129,039.0**	**39,696**	**40,377.2**	**42,815.7**	**47,952.2**	**170,841.2**	**213,946.4**
Non-GAAP Operating income	**112,390.0**	**30,606**	**31,271**	**31,228**	**35,934**	**129,039.0**	**39,696**	**40,377.2**	**42,815.7**	**47,952.2**	**170,841.2**	**213,946.4**
JPMe Adjusted Operating income	**135,175.0**	**36,122**	**37,269**	**41,053**	**43,005**	**157,449.0**	**46,447**	**47,801.8**	**50,768.8**	**55,923.8**	**200,941.3**	**249,159.6**
Other income, expense and other, net	7,425.0	11,183	2,662	12,759	3,183	29,787.0	37,716	553.3	498.8	443.7	39,211.8	419.9
Income before taxes	119,815.0	41,789	33,933	43,987	39,117	158,826.0	77,412	40,930.5	43,314.6	48,395.9	210,053.0	214,366.4
Provision for income taxes	19,697.0	7,249	5,737	9,008	4,662	26,656.0	14,834	6,958.2	7,363.5	8,227.3	37,383.0	36,442.3
Effective tax rate	*16.4%*	*17.3%*	*16.9%*	*20.5%*	*11.9%*	*16.8%*	*19.2%*	*17.0%*	*17.0%*	*17.0%*	*17.8%*	*17.0%*
Discontinued Operations - Motorola												
GAAP Net Income (loss)	**100,118.0**	**34,540**	**28,196**	**34,979**	**34,455**	**132,170.0**	**62,578**	**33,972.3**	**35,951.1**	**40,168.6**	**172,670.0**	**177,924.1**
GAAP EPS - Diluted	**$8.04**	**$2.81**	**$2.31**	**$2.87**	**$2.82**	**$10.81**	**$5.11**	**$2.76**	**$2.91**	**$3.24**	**$14.02**	**$14.31**
Diluted shares outstanding	12,447.3	12,291	12,198	12,203	12,228	12,230.0	12,238	12,287.0	12,336.1	12,385.4	12,311.6	12,434.7
Alphabet Non-GAAP reconciliation												
Adj. for One-time item	0.0	0.0	0.0	3,457.0	0.0	3,457.0	0.0	0.0	0.0	0.0	0.0	0.0
Non-GAAP Net Income (loss)	**100,118.0**	**34,540.0**	**28,196.0**	**38,436.0**	**34,455.0**	**135,627.0**	**62,578.0**	**33,972.3**	**35,951.1**	**40,168.6**	**172,670.0**	**177,924.1**
Non-GAAP EPS - Diluted	**$8.04**	**$2.81**	**$2.31**	**$3.15**	**$2.82**	**$11.09**	**$5.11**	**$2.76**	**$2.91**	**$3.24**	**$14.02**	**$14.31**
Non-recurring items:												
Stock compensation expense	22,785.0	5,516.0	5,998.0	6,368.0	7,071.0	24,953.0	6,751.0	7,424.5	7,953.1	7,971.6	30,100.2	35,213.1
One-time items	(2,943.0)	(10,182.0)	(1,612.0)	(8,226.0)	(1,973.0)	(21,993.0)	(36,335.0)	784.6	784.6	784.6	(33,981.3)	3,090.3
Tax Effect	(3,208.3)	809.4	(741.5)	380.5	(607.6)	(159.2)	5,669.0	(1,395.5)	(1,485.4)	(1,488.5)	1,299.5	(6,511.6)
Adjusted Net Income (loss)	**116,751.7**	**30,683.4**	**31,840.5**	**33,501.5**	**38,945.4**	**134,970.8**	**38,663.0**	**40,785.9**	**43,203.3**	**47,436.2**	**170,088.4**	**209,715.9**
Adj. EPS - Diluted	**$9.38**	**$2.50**	**$2.61**	**$2.75**	**$3.18**	**$11.04**	**$3.16**	**$3.32**	**$3.50**	**$3.83**	**$13.82**	**$16.87**
Diluted shares outstanding	12,447.3	12,291.0	12,198.0	12,203.0	12,228.0	12,230.0	12,238.0	12,287.0	12,336.1	12,385.4	12,311.6	12,434.7
Adj. EBITDA Reconciliation												
Operating income (adj. for 1x item as noted)	112,390.0	30,606	31,271	34,685	35,934	132,496.0	39,696	40,377.2	42,815.7	47,952.2	170,841.2	213,946.4
Depreciation & amortization	15,311.0	4,487	4,998	5,611	6,040	21,136.0	6,482	8,136.5	9,478.3	11,037.6	35,134.4	59,222.1
Stock compensation expense	22,785.0	5,516	5,998	6,368	7,071	24,953.0	6,751	7,424.5	7,953.1	7,971.6	30,100.2	35,213.1
Adj. EBITDA	**150,486.0**	**40,609**	**42,267**	**46,664**	**49,045**	**178,585.0**	**52,929**	**55,938.2**	**60,247.1**	**66,961.4**	**236,075.7**	**308,381.6**
Year/Year Growth	**2024A**	**3/25A**	**6/25A**	**9/25A**	**12/25A**	**2025A**	**3/26E**	**6/26E**	**9/26E**	**12/26E**	**2026E**	**2027E**
Gross Revenues (FXHN)	***14.8%***	***13.8%***	***13.4%***	***14.7%***	***16.7%***	***14.7%***	***19.0%***	***21.1%***	***22.3%***	***23.1%***	***21.5%***	***22.7%***
Gross Revenues	***13.9%***	***12.0%***	***13.8%***	***15.9%***	***18.0%***	***15.1%***	***21.8%***	***21.8%***	***22.2%***	***23.3%***	***22.3%***	***22.7%***
Traffic Acquisition Costs (TAC)	*7.9%*	*6.2%*	*9.8%*	*8.4%*	*11.8%*	*9.2%*	*10.8%*	*6.8%*	*8.1%*	*6.8%*	*8.0%*	*9.6%*
Net Revenues	***15.1%***	***13.2%***	***14.5%***	***17.3%***	***19.1%***	***16.2%***	***23.8%***	***24.5%***	***24.6%***	***26.1%***	***24.8%***	***24.7%***
Other cost of revenues	*10.9%*	*8.9%*	*10.0%*	*16.4%*	*13.2%*	*12.3%*	*15.2%*	*24.1%*	*25.8%*	*29.9%*	*24.2%*	*31.8%*
Gross profit	***17.0%***	***15.0%***	***16.6%***	***17.7%***	***21.9%***	***18.0%***	***27.4%***	***24.6%***	***24.0%***	***24.5%***	***25.0%***	***21.6%***
Research & development	*8.6%*	*13.9%*	*16.4%*	*21.7%*	*41.6%*	*23.8%*	*25.6%*	*26.0%*	*24.4%*	*8.3%*	*20.1%*	*20.0%*
Sales & marketing	*-0.4%*	*-4.0%*	*4.5%*	*-0.3%*	*11.6%*	*3.2%*	*23.2%*	*21.7%*	*21.0%*	*19.4%*	*21.2%*	*16.6%*
General & administrative	*-13.6%*	*17.0%*	*64.9%*	*9.4%*	*21.2%*	*27.0%*	*21.2%*	*-2.4%*	*32.9%*	*28.6%*	*19.1%*	*6.8%*
Total operating expenses	***1.7%***	***9.0%***	***19.8%***	***27.8%***	***29.1%***	***21.8%***	***24.3%***	***19.2%***	***10.2%***	***14.5%***	***16.5%***	***16.9%***
GAAP Operating income	***33.3%***	***20.2%***	***14.0%***	***9.5%***	***16.0%***	***14.8%***	***29.7%***	***29.1%***	***37.1%***	***33.4%***	***32.4%***	***25.2%***
Non-GAAP Operating income	***33.3%***	***20.2%***	***14.0%***	***9.5%***	***16.0%***	***14.8%***	***29.7%***	***29.1%***	***37.1%***	***33.4%***	***32.4%***	***25.2%***
JPMe Adjusted Operating income	***26.6%***	***17.5%***	***12.0%***	***19.5%***	***16.9%***	***16.5%***	***28.6%***	***28.3%***	***23.7%***	***30.0%***	***27.6%***	***24.0%***
Depreciation & amortization	*28.2%*	*31.5%*	*34.8%*	*40.8%*	*43.6%*	*38.0%*	*44.5%*	*62.8%*	*68.9%*	*82.7%*	*66.2%*	*68.6%*
Stock compensation expense	*1.4%*	*4.8%*	*2.3%*	*8.9%*	*21.7%*	*9.5%*	*22.4%*	*23.8%*	*24.9%*	*12.7%*	*20.6%*	*17.0%*
EBITDA	*24.9%*	*18.9%*	*14.2%*	*21.7%*	*19.7%*	*18.7%*	*30.3%*	*32.3%*	*29.1%*	*36.5%*	*32.2%*	*30.6%*
GAAP Net Income (loss)	*35.7%*	*46.0%*	*19.4%*	*33.0%*	*29.8%*	*32.0%*	*81.2%*	*20.5%*	*2.8%*	*16.6%*	*30.6%*	*3.0%*
GAAP EPS	***38.7%***	***48.8%***	***22.3%***	***35.3%***	***31.1%***	***34.4%***	***82.0%***	***19.6%***	***1.7%***	***15.1%***	***29.8%***	***2.0%***
Non-GAAP Net Income (loss)	*35.7%*	*46.0%*	*19.4%*	*46.1%*	*29.8%*	*35.5%*	*81.2%*	*20.5%*	*-6.5%*	*16.6%*	*27.3%*	*3.0%*
Non-GAAP EPS	*38.7%*	*48.8%*	*22.3%*	*48.7%*	*31.1%*	*37.9%*	*82.0%*	*19.6%*	*-7.5%*	*15.1%*	*26.5%*	*2.0%*
JPMe Adjusted Net Income (loss)	*22.5%*	*15.5%*	*8.0%*	*13.4%*	*25.0%*	*15.6%*	*26.0%*	*28.1%*	*29.0%*	*21.8%*	*26.0%*	*23.3%*
JPMe Adjusted EPS	*25.2%*	*17.7%*	*10.7%*	*15.4%*	*26.2%*	*17.7%*	*26.6%*	*27.2%*	*27.6%*	*20.3%*	*25.2%*	*22.1%*
GAAP expenses as % of Net Revenues												
Other cost of revenues (non-TAC)	31.0%	29.6%	29.8%	30.3%	30.0%	29.9%	27.5%	29.7%	30.6%	30.9%	29.8%	31.5%
Research & development	16.7%	17.7%	16.9%	17.3%	19.1%	17.8%	18.0%	17.1%	17.3%	16.4%	17.1%	16.5%
Sales & marketing	9.4%	8.1%	8.7%	8.2%	8.4%	8.4%	8.0%	8.5%	8.0%	8.0%	8.1%	7.6%
General & administrative	4.8%	4.6%	6.4%	4.5%	5.5%	5.3%	4.5%	5.0%	4.8%	5.6%	5.0%	4.3%
Stock compensation expense	7.7%	7.2%	7.3%	7.3%	7.3%	7.3%	7.1%	7.3%	7.3%	6.5%	7.0%	6.6%
GAAP expenses as % of Gross Revenues												
Traffic Acquisition Costs (TAC)	15.7%	15.2%	15.2%	14.5%	14.6%	14.9%	13.9%	13.4%	12.9%	12.6%	13.1%	11.7%
Other cost of revenues (non-TAC)	26.1%	25.1%	25.2%	25.9%	25.6%	25.5%	23.7%	25.7%	26.7%	27.0%	25.9%	27.8%
Research & development	14.1%	15.0%	14.3%	14.8%	16.3%	15.2%	15.5%	14.8%	15.1%	14.3%	14.9%	14.6%
Sales & marketing	7.9%	6.8%	7.4%	7.0%	7.2%	7.1%	6.9%	7.4%	7.0%	7.0%	7.1%	6.7%
General & administrative	4.1%	3.9%	5.4%	3.8%	4.7%	4.5%	3.9%	4.3%	4.2%	4.9%	4.4%	3.8%
Stock compensation expense	6.5%	6.1%	6.2%	6.2%	6.2%	6.2%	6.1%	6.3%	6.4%	5.7%	6.1%	5.8%
Margin as % of Gross Revenues												
Gross margin	58.2%	59.7%	59.5%	59.6%	59.8%	59.7%	62.4%	60.9%	60.5%	60.4%	61.0%	60.5%
GAAP Operating margin	**32.1%**	**33.9%**	**32.4%**	**30.5%**	**31.6%**	**32.0%**	**36.1%**	**34.4%**	**34.2%**	**34.2%**	**34.7%**	**35.4%**
Non-GAAP Operating margin	**32.1%**	**33.9%**	**32.4%**	**30.5%**	**31.6%**	**32.0%**	**36.1%**	**34.4%**	**34.2%**	**34.2%**	**34.7%**	**35.4%**
JPMe Adjusted Operating margin	**38.6%**	**40.0%**	**38.6%**	**40.1%**	**37.8%**	**39.1%**	**42.3%**	**40.7%**	**40.6%**	**39.8%**	**40.8%**	**41.2%**
Net margin	28.6%	38.3%	29.2%	34.2%	30.3%	32.8%	56.9%	28.9%	28.8%	28.6%	35.0%	29.4%
Adj. EBITDA	**43.0%**	**45.0%**	**43.8%**	**45.6%**	**43.1%**	**44.3%**	**48.2%**	**47.6%**	**48.2%**	**47.7%**	**47.9%**	**51.0%**
Operating Leverage/Flow-through	**70.5%**	**66.6%**	**45.1%**	**59.0%**	**46.4%**	**53.2%**	**62.7%**	**65.1%**	**59.9%**	**67.5%**	**64.0%**	**64.7%**

Source: J.P. Morgan estimates, Company data.

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Figure 4: Alphabet Revenue Drivers

$ millions except where noted	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26E	6/26E	9/26E	12/26E	2026E	2027E
Gross Revenue Summary												
Google Search & other	198,084.0	50,702	54,190	56,567	63,073	224,532.0	60,399	63,209.9	64,819.7	72,010.0	260,438.5	294,166.9
Y/Y growth	*13.2%*	*9.8%*	*11.7%*	*14.5%*	*16.7%*	*13.4%*	*19.1%*	*16.6%*	*14.6%*	*14.2%*	*16.0%*	*13.0%*
FXHN Y/Y growth (estimate)	*14.1%*	*11.8%*	*11.1%*	*13.0%*	*15.4%*	*12.9%*	*15.9%*	*16.0%*	*15.0%*	*14.0%*	*15.2%*	*13.0%*
YouTube ads	36,147.0	8,927	9,796	10,261	11,383	40,367.0	9,883	10,638.5	11,042.3	12,425.9	43,989.7	47,927.8
Y/Y growth	*14.7%*	*10.3%*	*13.1%*	*15.0%*	*8.7%*	*11.7%*	*10.7%*	*8.6%*	*7.6%*	*9.2%*	*9.0%*	*9.0%*
FXHN Y/Y growth (estimate)	*15.7%*	*12.3%*	*12.4%*	*13.5%*	*7.4%*	*11.2%*	*7.7%*	*8.0%*	*8.0%*	*9.0%*	*8.2%*	*9.0%*
Google Properties	234,231.0	59,629	63,986	66,828	74,456	264,899.0	70,282	73,848.4	75,861.9	84,435.9	304,428.2	342,094.7
Y/Y growth	*13.4%*	*9.9%*	*11.9%*	*14.6%*	*15.4%*	*13.1%*	*17.9%*	*15.4%*	*13.5%*	*13.4%*	*14.9%*	*12.4%*
FXHN Y/Y growth (estimate)	*14.4%*	*11.9%*	*11.3%*	*13.1%*	*14.1%*	*12.6%*	*14.6%*	*14.8%*	*13.9%*	*13.2%*	*14.1%*	*12.4%*
Q/Q growth		*-7.6%*	*7.3%*	*4.4%*	*11.4%*		*-5.6%*	*5.1%*	*2.7%*	*11.3%*		
Google Network Members' properties	30,359.0	7,256	7,354	7,354	7,828	29,792.0	6,971	6,877.2	6,961.3	7,447.6	28,257.2	27,115.1
Y/Y growth	*-3.0%*	*-2.1%*	*-1.2%*	*-2.6%*	*-1.6%*	*-1.9%*	*-3.9%*	*-6.5%*	*-5.3%*	*-4.9%*	*-5.2%*	*-4.0%*
FXHN Y/Y growth (estimate)	*-2.2%*	*-0.4%*	*-1.8%*	*-3.8%*	*-2.7%*	*-2.2%*	*-6.6%*	*-7.0%*	*-5.0%*	*-5.0%*	*-5.9%*	*-4.0%*
Q/Q growth		*-8.8%*	*1.4%*	*0.0%*	*6.4%*		*-10.9%*	*-1.3%*	*1.2%*	*7.0%*		
Google advertising	264,590.0	66,885	71,340	74,182	82,284	294,691.0	77,253	80,725.6	82,823.3	91,883.5	332,685.4	369,209.7
Y/Y growth	*11.2%*	*8.5%*	*10.4%*	*12.6%*	*13.6%*	*11.4%*	*15.5%*	*13.2%*	*11.6%*	*11.7%*	*12.9%*	*11.0%*
FXHN Y/Y growth	*12.2%*	*10.4%*	*9.8%*	*11.2%*	*12.2%*	*10.9%*	*12.3%*	*12.5%*	*12.0%*	*11.5%*	*12.1%*	*11.0%*
Google subscriptions, platforms, and devices	40,340.0	10,379	11,203	12,870	13,578	48,030.0	12,384	13,067.7	14,875.9	15,773.9	56,101.5	63,366.9
Y/Y growth	*16.3%*	*18.8%*	*20.3%*	*20.8%*	*16.7%*	*19.1%*	*19.3%*	*16.6%*	*15.6%*	*16.2%*	*16.8%*	*13.0%*
FXHN Y/Y growth (estimate)	*17.3%*	*20.9%*	*19.6%*	*19.2%*	*15.4%*	*18.6%*	*16.0%*	*16.0%*	*16.0%*	*16.0%*	*16.0%*	*13.0%*
Q/Q growth		*-10.8%*	*7.9%*	*14.9%*	*5.5%*		*-8.8%*	*5.5%*	*13.8%*	*6.0%*		
Google Services total	304,930.0	77,264	82,543	87,052	95,862	342,721.0	89,637	93,793.3	97,699.2	107,657.4	388,786.9	432,576.7
Y/Y growth	*11.9%*	*9.8%*	*11.7%*	*13.8%*	*14.0%*	*12.4%*	*16.0%*	*13.6%*	*12.2%*	*12.3%*	*13.4%*	*11.3%*
FXHN Y/Y growth	*12.8%*	*11.7%*	*11.0%*	*12.3%*	*12.7%*	*12.0%*	*12.8%*	*13.0%*	*12.6%*	*12.1%*	*12.6%*	*11.3%*
Google Cloud	43,229.0	12,260	13,624	15,157	17,664	58,705.0	20,028	23,289.6	26,732.0	32,196.2	102,245.8	168,631.9
Y/Y growth	*30.6%*	*28.1%*	*31.7%*	*33.5%*	*47.8%*	*35.8%*	*63.4%*	*70.9%*	*76.4%*	*82.3%*	*74.2%*	*64.9%*
FXHN Y/Y growth (estimate)	*31.8%*	*30.4%*	*30.9%*	*31.8%*	*46.0%*	*35.2%*	*58.9%*	*70.0%*	*77.0%*	*82.0%*	*73.1%*	*65.0%*
Q/Q growth		*2.6%*	*11.1%*	*11.3%*	*16.5%*		*13.4%*	*16.3%*	*14.8%*	*20.4%*		
Other Bets	1,648.0	450	373	344	370	1,537.0	411	462.9	511.1	553.6	1,938.5	3,218.8
Y/Y growth	*7.9%*	*-9.1%*	*2.2%*	*-11.3%*	*-7.5%*	*-6.7%*	*-8.7%*	*24.1%*	*48.6%*	*49.6%*	*26.1%*	*66.0%*
Hedging gains (losses)	211.0	260	(112)	(207)	(68)	(127.0)	(180)	(129.5)	89.2	(41.5)	(261.7)	43.8
Alphabet total revenues (gross)	350,018.0	90,234	96,428	102,346	113,828	402,836.0	109,896	117,416.3	125,031.5	140,365.7	492,709.5	604,471.1
Y/Y growth	***13.9%***	***12.0%***	***13.8%***	***15.9%***	***18.0%***	***15.1%***	***21.8%***	***21.8%***	***22.2%***	***23.3%***	***22.3%***	***22.7%***
FXHN Y/Y growth	***14.8%***	***13.8%***	***13.4%***	***14.7%***	***16.7%***	***14.7%***	***19.0%***	***21.1%***	***22.3%***	***23.1%***	***21.5%***	***22.7%***
Q/Q growth		*-6.5%*	*6.9%*	*6.1%*	*11.2%*		*-3.5%*	*6.8%*	*6.5%*	*12.3%*		
Seasonality		22.4%	23.9%	25.4%	28.3%		22.3%	23.8%	25.4%	28.5%		
Gross Revenue Share by Segment												
Google Search & other	56.6%	56.2%	56.2%	55.3%	55.4%	55.7%	55.0%	53.8%	51.8%	51.3%	52.9%	48.7%
YouTube ads	10.3%	9.9%	10.2%	10.0%	10.0%	10.0%	9.0%	9.1%	8.8%	8.9%	8.9%	7.9%
Google Network Members' properties	8.7%	8.0%	7.6%	7.2%	6.9%	7.4%	6.3%	5.9%	5.6%	5.3%	5.7%	4.5%
Google advertising	**75.6%**	**74.1%**	**74.0%**	**72.5%**	**72.3%**	**73.2%**	**70.3%**	**68.8%**	**66.2%**	**65.5%**	**67.5%**	**61.1%**
Google subscriptions, platforms, and devices	11.5%	11.5%	11.6%	12.6%	11.9%	11.9%	11.3%	11.1%	11.9%	11.2%	11.4%	10.5%
Google Services total	**87.1%**	**85.6%**	**85.6%**	**85.1%**	**84.2%**	**85.1%**	**81.6%**	**79.9%**	**78.1%**	**76.7%**	**78.9%**	**71.6%**
Google Cloud	**12.4%**	**13.6%**	**14.1%**	**14.8%**	**15.5%**	**14.6%**	**18.2%**	**19.8%**	**21.4%**	**22.9%**	**20.8%**	**27.9%**
Other Bets	0.5%	0.5%	0.4%	0.3%	0.3%	0.4%	0.4%	0.4%	0.4%	0.4%	0.4%	0.5%
Hedging gains (losses)	0.1%	0.3%	-0.1%	-0.2%	-0.1%	0.0%	-0.2%	-0.1%	0.1%	0.0%	-0.1%	0.0%
TAC Analysis												
Total Traffic Acquisition Costs (TAC)	**54,900.0**	**13,748**	**14,705**	**14,876**	**16,597**	**59,926.0**	**15,228**	**15,710.4**	**16,085.6**	**17,725.8**	**64,749.9**	**70,938.9**
Y/Y growth	*7.9%*	*6.2%*	*9.8%*	*8.4%*	*11.8%*	*9.2%*	*10.8%*	*6.8%*	*8.1%*	*6.8%*	*8.0%*	*9.6%*
TAC as a % of Total Gross Adv. Revenues	**20.7%**	**20.6%**	**20.6%**	**20.1%**	**20.2%**	**20.3%**	**19.7%**	**19.5%**	**19.4%**	**19.3%**	**19.5%**	**19.2%**
TAC as a % of Total Ads Gross Revs ex. YT	**24.0%**	**23.7%**	**23.9%**	**23.3%**	**23.4%**	**23.6%**	**22.6%**	**22.4%**	**22.4%**	**22.3%**	**22.4%**	**22.1%**
Net Revenue Summary												
Google Properties - Net Revenues	200,159.4	50,756.2	54,394.4	56,815.6	63,197.5	225,163.6	59,470.6	62,470.6	64,162.0	71,402.1	257,505.2	288,262.1
Y/Y growth	*13.0%*	*9.6%*	*11.1%*	*14.2%*	*14.7%*	*12.5%*	*17.2%*	*14.8%*	*12.9%*	*13.0%*	*14.4%*	*11.9%*
Q/Q growth		*-7.9%*	*7.2%*	*4.5%*	*11.2%*		*-5.9%*	*5.0%*	*2.7%*	*11.3%*		
Google Network Members' Properties - Net Revenu	9,530.6	2,380.9	2,240.6	2,490.4	2,489.5	9,601.4	2,554.4	2,544.6	2,575.7	2,755.6	10,430.3	10,008.7
Y/Y growth	*-2.9%*	*-1.0%*	*-0.6%*	*5.0%*	*-0.3%*	*0.7%*	*7.3%*	*13.6%*	*3.4%*	*10.7%*	*8.6%*	*-4.0%*
Google Advertising - Net Revenues	**209,690.0**	**53,137.0**	**56,635.0**	**59,306.0**	**65,687.0**	**234,765.0**	**62,025.0**	**65,015.2**	**66,737.7**	**74,157.7**	**267,935.6**	**298,270.9**
Y/Y growth	*12.2%*	*9.1%*	*10.6%*	*13.8%*	*14.0%*	*12.0%*	*16.7%*	*14.8%*	*12.5%*	*12.9%*	*14.1%*	*11.3%*
Non-Advertising - Net Revenues	**85,428.0**	**23,349.0**	**25,088.0**	**28,164.0**	**31,544.0**	**108,145.0**	**32,643.0**	**36,690.7**	**42,208.2**	**48,482.2**	**160,024.1**	**235,261.4**
Y/Y growth	*22.8%*	*23.7%*	*24.7%*	*25.7%*	*31.4%*	*26.6%*	*39.8%*	*46.2%*	*49.9%*	*53.7%*	*48.0%*	*47.0%*
Alphabet Net Revenues	**295,118.0**	**76,486.0**	**81,723.0**	**87,470.0**	**97,231.0**	**342,910.0**	**94,668.0**	**101,705.9**	**108,945.9**	**122,639.9**	**427,959.7**	**533,532.3**
Y/Y growth	*15.1%*	*13.2%*	*14.5%*	*17.3%*	*19.1%*	*16.2%*	*23.8%*	*24.5%*	*24.6%*	*26.1%*	*24.8%*	*24.7%*
Q/Q growth		*-6.3%*	*6.8%*	*7.0%*	*11.2%*		*-2.6%*	*7.4%*	*7.1%*	*12.6%*		
Seasonality		22.3%	23.8%	25.5%	28.4%		22.1%	23.8%	25.5%	28.7%		
Net Revenue Share by Segment												
Google Properties as % of Alphabet Net Revenues	67.8%	66.4%	66.6%	65.0%	65.0%	65.7%	62.8%	61.4%	58.9%	58.2%	60.2%	54.0%
Google Network Members' Properties as % of Alphab	3.2%	3.1%	2.7%	2.8%	2.6%	2.8%	2.7%	2.5%	2.4%	2.2%	2.4%	1.9%
Google Advertising as % of Alphebt Net Revenue	**71.1%**	**69.5%**	**69.3%**	**67.8%**	**67.6%**	**68.5%**	**65.5%**	**63.9%**	**61.3%**	**60.5%**	**62.6%**	**55.9%**
Google Other & Other Bets as % of Alphabet Net F	**28.9%**	**30.5%**	**30.7%**	**32.2%**	**32.4%**	**31.5%**	**34.5%**	**36.1%**	**38.7%**	**39.5%**	**37.4%**	**44.1%**

($ millions except where noted)	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26E	6/26E	9/26E	12/26E	2026E	2027E
MONETIZATION												
Google Search & Other												
Paid Clicks Change												
Y/Y growth	5%	2%	4%	7%	10%	6%						
QTD Y/Y growth		2%	3%	4%	6%							
Cost-per-Click Change												
Y/Y growth	7%	7%	8%	7%	6%	7%						
QTD Y/Y growth		7%	8%	7%	7%							

Source: J.P. Morgan estimates, Company data.

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Figure 5: Alphabet Revenue Drivers (Cont'd)

($ millions except where noted)	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26E	6/26E	9/26E	12/26E	2026E	2027E
Geographic Breakdown												
Alphabet total revenues (gross)	350,018.0	90,234	96,428	102,346	113,828	402,836.0	109,896	117,416.3	125,031.5	140,365.7	492,709.5	604,471.1
Y/Y growth	*13.9%*	*12%*	*14%*	*16%*	*18%*	*15.1%*	*22%*	*21.8%*	*22.2%*	*23.3%*	*22.3%*	*22.7%*
Y/Y growth (ex-FX & Hedging)	***14.8%***	***14%***	***13%***	***15%***	***17%***	***14.7%***	***19%***	***21.1%***	***22.3%***	***23.1%***	***21.5%***	***22.7%***
Q/Q growth		*-6%*	*7%*	*6%*	*11%*		*-3%*	*6.8%*	*6.5%*	*12.3%*		
Geographic Breakdown												
United States	170,447.0	43,964	46,063	48,758	55,444	194,229.0	53,975	58,039.4	62,654.0	72,077.2	246,745.6	319,535.6
Y/Y growth	***16.5%***	***13%***	***12%***	***13%***	***17%***	***14.0%***	***23%***	***26.0%***	***28.5%***	***30.0%***	***27.0%***	***29.5%***
Q/Q growth		*-7%*	*5%*	*6%*	*14%*		*-3%*	*7.5%*	*8.0%*	*15.0%*		
U.S. revenues as % of Gross Revenues	48.7%	49%	48%	48%	49%	48.2%	49%	49.4%	50.1%	51.3%	50.1%	52.9%
International	179,360.0	46,010	50,477	53,795	58,452	208,734.0	56,101	59,506.4	62,288.3	68,330.0	246,225.6	284,891.8
Y/Y growth	*11.5%*	*10%*	*16%*	*19%*	*19%*	*16.4%*	*22%*	*17.9%*	*15.8%*	*16.9%*	*18.0%*	*15.7%*
FXHN Y/Y growth	*13.3%*	*14%*	*15%*	*16%*	*16%*	*15.5%*	*15%*	*16.6%*	*16.6%*	*16.5%*	*16.3%*	*15.8%*
Q/Q growth		*-6%*	*10%*	*7%*	*9%*		*-4%*	*6.1%*	*4.7%*	*9.7%*		
International revenues as % of Gross Revenues	51.2%	51%	52%	53%	51%	51.8%	51%	50.7%	49.8%	48.7%	50.0%	47.1%
Hedging Gains (Losses)	211.0	260.0	(112.0)	(207.0)	(68.0)	(127.0)	(180.0)	(129.5)	89.2	(41.5)	(261.7)	43.8
Internation Breakdown (excl. Hedge post-1Q17 change)												
EMEA	102,127.0	25,923	28,262	29,911	33,056	117,152.0	31,468	32,738.6	33,717.5	37,478.8	135,402.9	151,407.2
Y/Y growth	*12.2%*	*9%*	*14%*	*17%*	*17%*	*14.7%*	*21%*	*15.8%*	*12.7%*	*13.4%*	*15.6%*	*11.8%*
FXHN Y/Y growth	***12.1%***	***12%***	***11%***	***12%***	***12%***	***12.0%***	***12%***	***13.0%***	***13.0%***	***13.0%***	***12.7%***	***12.0%***
Q/Q growth		*-8%*	*9%*	*6%*	*11%*		*-5%*	*4.0%*	*3.0%*	*11.2%*		
EMEA as a % of Gross Revenues	29.2%	29%	29%	29%	29%	29.1%	29%	27.9%	27.0%	26.7%	27.5%	25.0%
APAC	56,815.0	14,854	16,480	17,819	18,527	67,680.0	18,288	19,775.3	21,234.4	22,456.0	81,753.7	99,461.7
Y/Y growth	*10.3%*	*12%*	*19%*	*22%*	*22%*	*19.1%*	*23%*	*20.0%*	*19.2%*	*21.2%*	*20.8%*	*21.7%*
FXHN Y/Y growth	***12.9%***	***15%***	***18%***	***22%***	***23%***	***19.7%***	***22%***	***23.0%***	***22.9%***	***22.7%***	***22.7%***	***22.0%***
Q/Q growth		*-2%*	*11%*	*8%*	*4%*		*-1%*	*8.1%*	*7.4%*	*5.8%*		
APAC as a % of Gross Revenues	16.2%	16%	17%	17%	16%	16.8%	17%	16.8%	17.0%	16.0%	16.6%	16.5%
Other Americas (Canada and LatAM)	20,418.0	5,233	5,735	6,065	6,869	23,902.0	6,345	6,992.5	7,336.3	8,395.1	29,069.0	34,022.8
Y/Y growth	*11.5%*	*12%*	*16%*	*19%*	*20%*	*17.1%*	*21%*	*21.9%*	*21.0%*	*22.2%*	*21.6%*	*17.0%*
FXHN Y/Y growth	***20.2%***	***23%***	***23%***	***20%***	***19%***	***21.1%***	***14%***	***16.0%***	***16.0%***	***17.0%***	***15.9%***	***16.0%***
Q/Q growth		*-9%*	*10%*	*6%*	*13%*		*-8%*	*10.2%*	*4.9%*	*14.4%*		
Other Americas as a % of Gross Revenues	5.8%	6%	6%	6%	6%	5.9%	6%	6.0%	5.9%	6.0%	5.9%	5.6%
Foreign Exchange Impact on Gross Revenue												
Total Gross Revenue	350,018.0	90,234	96,428	102,346	113,828	402,836.0	109,896	117,416.3	125,031.5	140,365.7	492,709.5	604,471.1
Y/Y growth	***13.9%***	***12%***	***14%***	***16%***	***18%***	***15.1%***	***22%***	***21.8%***	***22.2%***	***23.3%***	***22.3%***	***22.7%***
Q/Q growth		***-6%***	***7%***	***6%***	***11%***		***-3%***	***6.8%***	***6.5%***	***12.3%***		
Y/Y Foreign Exchange Impact	(2,939.0)	(1,605)	543	1,339	1,331	1,608.0	3,005	647.3	(446.1)	207.3	3,413.5	(219.1)
	-7%	-16%	-21%	-15%	-5%	-8%	-6%	-20%	-20%	-20%	-8%	-20%
Cash Flow Hedging Impact	211.0	260	(112)	(207)	(68)	(127.0)	(180)	(129.5)	89.2	(41.5)	(261.7)	43.8
FXHN Gross Revs. (based on year ago period)	352,746.0	91,579	95,997	101,214	112,565	401,355.0	107,071	116,898.4	125,388.4	140,199.8	489,557.7	604,690.2
Y/Y growth (ex-FX & Hedging)	***14.8%***	***14%***	***13%***	***15%***	***17%***	***14.7%***	***19%***	***21.1%***	***22.3%***	***23.1%***	***21.5%***	***22.7%***
BPS of Y/Y growth impacted by FX & Hedging	(97.6)	(177.2)	37.2	126.0	128.5	35.4	278.8	67.8	(10.1)	21.9	82.1	2.1
FX & Hedging Neutral Gross Revs. (based on last quarter)		90,995	94,919	101,635	114,153		109,426	118,125.9	124,761.3	140,365.7		
Q/Q growth (ex-FX & Hedging)		***-6%***	***5%***	***5%***	***12%***		***-4%***	***7.3%***	***6.1%***	***12.3%***		
BPS of Q/Q growth impacted by FX & Hedging		(80.8)	136.8	86.0	(31.8)		47.0	(47.0)	34.7	(8.0)		

$ millions except where noted	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26E	6/26E	9/26E	12/26E	2026E	2027E
Foreign Exchange Impact on EMEA Gross Revenue (excl. Hedging)												
Total Gross EMEA Revenue	102,127.0	25,923	28,262	29,911	33,056	117,152.0	31,468	32,738.6	33,717.5	37,478.8	135,402.9	151,407.2
Y/Y growth	***12.2%***	***9%***	***14%***	***17%***	***17%***	***14.7%***	***21%***	***15.8%***	***12.7%***	***13.4%***	***15.6%***	***11.8%***
Q/Q growth		***-8%***	***9%***	***6%***	***11%***		***-5%***	***4.0%***	***3.0%***	***11.2%***		
Y/Y Foreign Exchange Impact	38.0	(724)	780	1,261	1,438	2,755.0	2,515	802.5	(81.9)	125.6	3,361.1	(244.0)
FXHN Gross Revs. (based on year ago period)	102,089	26,647	27,482	28,650	31,618	114,397.0	28,953	31,936.1	33,799.4	37,353.3	132,041.8	151,651.2
Y/Y growth (excl. FX & Hedging)	***12.1%***	***12%***	***11%***	***12%***	***12%***	***12.0%***	***12%***	***13.0%***	***13.0%***	***13.0%***	***12.7%***	***12.0%***
BPS of Y/Y growth impacted by FX & Hedging	4.2	(304.4)	316.0	495.1	510.2	269.8	970.2	284.0	(27.4)	38.0	286.9	(18.0)
Y/Y growth in FX	*0.0%*	*-2.7%*	*2.8%*	*4.4%*	*4.5%*	*2.4%*	*8.7%*	*2.5%*	*-0.2%*	*0.3%*	*2.5%*	*-0.2%*
Foreign Exchange Impact on APAC Gross Revenue (excl. Hedging)												
Total Gross APAC Revenue	56,815.0	14,854	16,480	17,819	18,527	67,680.0	18,288	19,775.3	21,234.4	22,456.0	81,753.7	99,461.7
Y/Y growth	***10.3%***	***12%***	***19%***	***22%***	***22%***	***19.1%***	***23%***	***20.0%***	***19.2%***	***21.2%***	***20.8%***	***21.7%***
Q/Q growth		***-2%***	***11%***	***8%***	***4%***		***-1%***	***8.1%***	***7.4%***	***5.8%***		
Y/Y Foreign Exchange Impact	(1,369.0)	(381)	115	128	(176)	(314.0)	134	(495.1)	(665.1)	(276.6)	(1,302.8)	(277.8)
FXHN Gross Revs. (based on year ago period)	58,184	15,235	16,365	17,691	18,703	67,994.0	18,154	20,270.4	21,899.6	22,732.6	83,056.6	99,739.6
Y/Y growth (excl. FX & Hedging)	***12.9%***	***15%***	***18%***	***22%***	***23%***	***19.7%***	***22%***	***23.0%***	***22.9%***	***22.7%***	***22.7%***	***22.0%***
BPS of Y/Y growth impacted by FX & Hedging	(265.8)	(286.7)	83.2	88.0	(116.1)	(55.3)	90.2	(300.4)	(373.3)		(192.5)	(34.0)
Y/Y growth in FX	*-2.4%*	*-2.5%*	*0.7%*	*0.7%*	*-0.9%*	*-0.5%*	*0.7%*	*-2.4%*	*-3.0%*	*-1.2%*	*-1.6%*	*-0.3%*
Foreign Exchange Impact on Other Americas Gross Revenue (excl. Hedging)												
Total Gross Other Americas Revenue	20,418.0	5,233.0	5,735.0	6,065.0	6,869.0	23,902.0	6,345.0	6,992.5	7,336.3	8,395.1	29,069.0	34,022.8
Y/Y growth	***11.5%***	***12%***	***16%***	***19%***	***20%***	***17.1%***	***21%***	***21.9%***	***21.0%***	***22.2%***	***21.6%***	***17.0%***
Q/Q growth		***-9%***	***10%***	***6%***	***13%***		***-8%***	***10.2%***	***4.9%***	***14.4%***		
Y/Y Foreign Exchange Impact	(1,608.0)	(500.0)	(352.0)	(50.0)	69.0	(833.0)	356.0	339.9	300.9	358.4	1,355.3	302.8
FXHN Gross Revs. (based on year ago period)	22,026	5,733	6,087	6,115	6,800	24,735.0	5,989	6,652.6	7,035.4	8,036.7	27,713.7	33,720.0
Y/Y growth (excl. FX & Hedging)	***20.2%***	***23%***	***23%***	***20%***	***19%***	***21.1%***	***14%***	***16.0%***	***16.0%***	***17.0%***	***15.9%***	***16.0%***
BPS of Y/Y growth impacted by FX & Hedging	(877.7)	(1,074.6)	(712.8)	(98.2)	120.3	(408.0)	680.3	592.7	496.2	521.8	567.0	104.2
Y/Y growth in FX	*-7.3%*	*-8.7%*	*-5.8%*		*1.0%*	*-3.4%*	*5.9%*	*5.1%*	*4.3%*	*4.5%*	*4.9%*	*0.9%*
Headcount												
Ending Full-time Headcount (ex-Motorola)	183,323	185,719	187,103	190,167	190,820	190,820	194,668	196,668	199,668	200,668	200,668	207,691
Y/Y growth	*0.4%*	*2.7%*	*4.2%*	*4.9%*	*4.1%*	*4.1%*	*4.8%*	*5.1%*	*5.0%*	*5.2%*	*5.2%*	*3.5%*
Q/Q growth		*1.3%*	*0.7%*	*1.6%*	*0.3%*		*2.0%*	*1.0%*	*1.5%*	*0.5%*		
Absolute Sequential Change in Headcount	821	2,396	1,384	3,064	653	7,497	3,848	2,000	3,000	1,000	9,848	7,023

Source: J.P. Morgan estimates, Company data.

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Figure 6: Alphabet Segment Reporting

$ in millions, except per share amounts	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26E	6/26E	9/26E	12/26E	2026E	2027E
ALPHABET SEGMENT SUMMARY												
Revenues:												
Google Services	304,930	77,264	82,543	87,052	95,862	342,721	89,637	93,793	97,699	107,657	388,787	432,577
Google Cloud	43,229	12,260	13,624	15,157	17,664	58,705	20,028	23,290	26,732	32,196	102,246	168,632
Other Bets	1,648	450	373	344	370	1,537	411	463	511	554	1,939	3,219
Hedging gains (losses)	211	260	(112)	(207)	(68)	(127)	(180)	(129)	89	(41)	(262)	44
Total Revenues	**350,018**	**90,234**	**96,428**	**102,346**	**113,828**	**402,836**	**109,896**	**117,416**	**125,032**	**140,366**	**492,710**	**604,471**
Total Revenues ex-hedge	349,807	89,974	96,540	102,553	113,896	402,963	110,076	117,546	124,942	140,407	492,971	604,427
GAAP Operating Income (Loss):												
Google Services	121,263	32,682	33,063	33,527	40,132	139,404	40,589	40,519	42,011	46,293	169,411	190,766
Google Cloud	6,112	2,177	2,826	3,594	5,313	13,910	6,598	6,987	8,153	10,947	32,685	59,864
Other Bets	(4,444)	(1,226)	(1,246)	(1,426)	(3,617)	(7,515)	(2,100)	(1,592)	(1,690)	(1,804)	(7,186)	(6,809)
Corporate costs, unallocated	(10,541)	(3,027)	(3,372)	(4,467)	(5,894)	(16,760)	(5,391)	(5,537)	(5,658)	(7,483)	(24,069)	(29,875)
Total Income from Operations	**112,390**	**30,606**	**31,271**	**31,228**	**35,934**	**129,039**	**39,696**	**40,377**	**42,816**	**47,952**	**170,841**	**213,946**
Margins:												
Google Services	39.8%	42.3%	40.1%	38.5%	41.9%	40.7%	45.3%	43.2%	43.0%	43.0%	43.6%	44.1%
Google Cloud	14.1%	17.8%	20.7%	23.7%	30.1%	23.7%	32.9%	30.0%	30.5%	34.0%	32.0%	35.5%
Other Bets	-269.7%	-272.4%	-334.0%	-414.5%	-977.6%	-488.9%	-510.9%	-343.9%	-330.7%	-325.9%	-370.7%	-211.5%
Corporate costs, unallocated (% of total revenues)	-3.0%	-3.4%	-3.5%	-4.4%	-5.2%	-4.2%	-4.9%	-4.7%	-4.5%	-5.3%	-4.9%	-4.9%
Total Income from Operations	**32.1%**	**33.9%**	**32.4%**	**30.5%**	**31.6%**	**32.0%**	**36.1%**	**34.4%**	**34.2%**	**34.2%**	**34.7%**	**35.4%**
SEGMENT ANALYSIS												
GOOGLE SERVICES												
Revenue	304,930	77,264	82,543	87,052	95,862	342,721	89,637	93,793	97,699	107,657	388,787	432,577
TAC	54,900	13,748	14,705	14,876	16,597	59,926	15,228	15,710	16,086	17,726	64,750	70,939
Net Revenue	250,030	63,516	67,838	72,176	79,265	282,795	74,409	78,083	81,614	89,932	324,037	361,638
GAAP Costs & Opex	128,767	30,834	34,775	38,649	39,133	143,391	33,820	37,564	39,603	43,639	154,626	170,871
GAAP Operating Income	121,263	32,682	33,063	33,527	40,132	139,404	40,589	40,519	42,011	46,293	169,411	190,766
OI&E	3,493	1,465	1,459	2,199	881	6,004	801	806	754	701	3,062	1,484
Income before taxes	124,756	34,147	34,522	35,726	41,013	145,408	41,390	41,325	42,764	46,994	172,473	192,250
Income Tax	19,697	7,249	5,737	9,008	4,662	26,656	14,834	7,001	7,407	8,271	37,513	36,623
GAAP Net Income	105,059	26,898	28,785	26,718	36,351	118,752	26,556	34,324	35,358	38,723	134,960	155,627
GAAP EPS	$8.44	$2.19	$2.36	$2.19	$2.97	$9.71	$2.17	$2.79	$2.87	$3.13	$10.96	$12.52
D&A	10,490					13,709					18,662	26,474
SBC	16,161					17,205					19,439	21,413
Adj. EBITDA	147,914					170,317					207,512	238,653
Costs & Expenses As % of Revenue												
TAC	18.0%	17.8%	17.8%	17.1%	17.3%	17.5%	17.0%	16.8%	16.5%	16.5%	16.7%	16.4%
GAAP Costs & Opex	42.2%	39.9%	42.1%	44.4%	40.8%	41.8%	37.7%	40.0%	40.5%	40.5%	39.8%	39.5%
D&A	3.4%					4.0%					4.8%	6.1%
SBC	5.3%					5.0%					5.0%	5.0%
Margins			excl. EC fine	**42.5%**		**41.7%**						
GAAP Operating Income	**39.8%**	**42.3%**	**40.1%**	**38.5%**	**41.9%**	**40.7%**	**45.3%**	**43.2%**	**43.0%**	**43.0%**	**43.6%**	**44.1%**
GOOGLE CLOUD												
Revenue	43,229	12,260	13,624	15,157	17,664	58,705	20,028	23,290	26,732	32,196	102,246	168,632
GAAP Costs & Opex	37,117	10,083	10,798	11,563	12,351	44,795	13,430	16,303	18,579	21,250	69,561	108,768
GAAP Operating Income	6,112	2,177	2,826	3,594	5,313	13,910	6,598	6,987	8,153	10,947	32,685	59,864
OI&E	0	0	0	0	0	0	0	0	0	0	0	0
Income before taxes	6,112	2,177	2,826	3,594	5,313	13,910	6,598	6,987	8,153	10,947	32,685	59,864
Income Tax	0	0	0	0	0	0	0	0	0	0	0	0
GAAP Net Income	6,112	2,177	2,826	3,594	5,313	13,910	6,598	6,987	8,153	10,947	32,685	59,864
GAAP EPS	$0.49	$0.18	$0.23	$0.29	$0.43	$1.14	$0.54	$0.57	$0.66	$0.88	$2.65	$4.81
D&A	4,409					6,927					15,848	32,040
SBC	5,879					6,927					9,816	12,900
Adj. EBITDA	16,401					27,764					58,349	104,805
Costs & Expenses As % of Revenue												
GAAP Costs & Opex	85.9%	82.2%	79.3%	76.3%	69.9%	76.3%	67.1%	70.0%	69.5%	66.0%	68.0%	64.5%
D&A	10%					12%					16%	19%
SBC	14%					12%					10%	8%
Margins												
GAAP Operating Income	**14.1%**	**17.8%**	**20.7%**	**23.7%**	**30.1%**	**23.7%**	**32.9%**	**30.0%**	**30.5%**	**34.0%**	**32.0%**	**35.5%**
OTHER BETS												
Revenue	1,648	450	373	344	370	1,537	411	463	511	554	1,939	3,219
GAAP Costs & Opex	6,092	1,676	1,619	1,770	3,987	9,052	2,511	2,055	2,201	2,358	9,125	10,028
Non-GAAP Costs & Opex	4,935					7,731					7,655	8,419
GAAP Operating Income	**(4,444)**	**(1,226)**	**(1,246)**	**(1,426)**	**(3,617)**	**(7,515)**	**(2,100)**	**(1,592)**	**(1,690)**	**(1,804)**	**(7,186)**	**(6,809)**
OI&E	3,932	9,718	1,203	10,560	2,302	23,783	36,915	0	0	0	36,915	0
Income before taxes	(512)	8,492	(43)	9,134	(1,315)	16,268	34,815	(1,592)	(1,690)	(1,804)	29,729	(6,809)
Income Tax	0	0	0	0	0	0	0	0	0	0	0	0
GAAP Net Income	(512)	8,492	(43)	9,134	(1,315)	16,268	34,815	(1,592)	(1,690)	(1,804)	29,729	(6,809)
GAAP EPS	($0.04)	$0.69	($0.00)	$0.75	($0.11)	$1.33	$2.84	($0.13)	($0.14)	($0.15)	$2.41	($0.55)
D&A	412					500					624	708
SBC	745					821					845	900
Adj. EBITDA	(3,287)					(6,194)					(5,716)	(5,200)
Costs & Expenses As % of Revenue												
GAAP Costs & Opex	370%	372%	434%	515%	1078%	589%	611%	444%	431%	426%	471%	312%
Margins												
GAAP Operating Income	-269.7%	-272.4%	-334.0%	-414.5%	-977.6%	-488.9%	-510.9%	-343.9%	-330.7%	-325.9%	-370.7%	-211.5%
RECONCILING ITEMS												
Hedging gains (losses)	211	260	(112)	(207)	(68)	(127)	(180)	(129)	89	(41)	(262)	44
Corporate costs, unallocated	**8,965**	**3,287**	**3,260**	**3,653**	**5,826**	**16,026**	**5,211**	**5,407**	**5,747**	**7,442**	**23,807**	**29,919**
One-time items	1,787	0	0	607	0	607	0	0	0	0	0	0
GAAP Operating Income	(10,541)	(3,027)	(3,372)	(4,467)	(5,894)	(16,760)	(5,391)	(5,537)	(5,658)	(7,483)	(24,069)	(29,875)
OI&E	0	0	0	0	0	0	0	0	0	0	0	0
Income before taxes	(10,541)	(3,027)	(3,372)	(4,467)	(5,894)	(16,760)	(5,391)	(5,537)	(5,658)	(7,483)	(24,069)	(29,875)
Income Tax	0	0	0	0	0	0	0	0	0	0	0	0
GAAP Net Income	(10,541)	(3,027)	(3,372)	(4,467)	(5,894)	(16,760)	(5,391)	(5,537)	(5,658)	(7,483)	(24,069)	(29,875)
GAAP EPS	($0.85)	($0.25)	($0.28)	($0.37)	($0.48)	($1.37)	($0.44)	($0.45)	($0.46)	($0.60)	($1.95)	($2.40)
As % of Alphabet Total Revenue ex-hedge												
Corporate costs, unallocated	2.56%	3.65%	3.38%	3.56%	5.12%	3.98%	4.73%	4.60%	4.60%	5.30%	4.83%	4.95%

Source: J.P. Morgan estimates, Company data.

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Investment Thesis, Valuation and Risks

Alphabet *(Overweight; Price Target: $460.00)*

Investment Thesis
We believe Alphabet's fundamentals are solid and the company will remain both a driver of and primary beneficiary of an increasingly digital economy & advances in Generative AI. Google remains focused on innovation, and we continue to believe there is healthy runway across Search & YT ads as AI drives higher ROI. Non-Ad businesses, incl. Cloud & YouTube subscription services, have significant headroom & momentum, and companies within Other Bets, incl. Waymo, provide option value. We remain confident Google's AI full stack advantage & in the company's ability to innovate around Generative AI, control costs, & generate solid top-line growth.

Valuation
Our December 2026 PT of $460, up vs. prior $395, is based on 32x our '27E GAAP EPS of $14.31, which ex-cash equates to 31x our '27E GAAP EPS ex-Other Bets of $14.86. We believe Alphabet shares should trade at a premium to the S&P 500 as Alphabet is one of the few companies in the S&P 500 with DD % revenue and EPS growth off of a very large base and a strong 34%+ GAAP Operating Income margin.

Risks to Rating and Price Target
Downside risks include: 1) Competition ramping across AI, Ads, Cloud, and for engineering/tech talent; **2)** potential for a return to heavy investment spending and margin compression; **3)** regulatory scrutiny resulting in meaningful change to operations or limiting innovation; and **4)** growth slowing more than anticipated with the next major revenue drivers, including Cloud, Hardware, and Waymo, not materializing as expected.

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Investment Thesis, Valuation and Risks

Alphabet Inc. *(Overweight; Price Target: $460.00)*

Investment Thesis
We believe Alphabet's fundamentals are solid and the company will remain both a driver of and primary beneficiary of an increasingly digital economy & advances in Generative AI. Google remains focused on innovation, and we continue to believe there is a healthy runway across Search and YouTube ads as AI drives higher ROI & TV dollars shift online. Non-Ad businesses, incl. Cloud & Subscriptions, have significant headroom, and companies within Other Bets, notably Waymo, provide option value. We remain confident in the company's ability to innovate around Generative AI, control costs, & generate solid top-line growth.

Valuation
Our December 2026 PT of $460, up vs. prior $395, is based on 32x our '27E GAAP EPS of $14.31, which ex-cash equates to 31x our '27E GAAP EPS ex-Other Bets of $14.86. We believe Alphabet shares should trade at a premium to the S&P 500 as Alphabet is one of the few companies in the S&P 500 with DD % revenue and EPS growth off of a very large base and a strong 34%+ GAAP Operating Income margin.

Risks to Rating and Price Target
Downside risks include: 1) Competition ramping across AI, Ads, Cloud, and for engineering/tech talent; **2)** potential for a return to heavy investment spending and margin compression; **3)** regulatory scrutiny resulting in meaningful change to operations or limiting innovation; and **4)** growth slowing more than anticipated with the next major revenue drivers, incl. Cloud, Hardware, and Waymo, not materializing as expected.

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Alphabet: Summary of Financials

Income Statement - Annual	FY25A	FY26E	FY27E	FY28E
Revenue	**402,836**	**492,710**	**604,471**	**735,125**
COGS	(162,535)	(192,233)	(239,002)	(297,876)
Gross profit	**240,301**	**300,477**	**365,470**	**437,249**
SG&A	(46,718)	(56,251)	(63,490)	(71,669)
Adj. EBITDA	**178,585**	**236,076**	**308,382**	**397,140**
D&A	(21,136)	(35,134)	(59,222)	(93,367)
Adj. EBIT	**157,449**	**200,941**	**249,160**	**303,773**
Net Interest	-	-	-	-
Adj. PBT	**187,236**	**240,153**	**249,580**	**302,085**
Tax	(26,656)	(37,383)	(36,442)	(44,424)
Minority Interest	-	-	-	-
Adj. Net Income	**134,971**	**170,088**	**209,716**	**253,596**
Reported EPS	10.81	14.02	14.31	17.28
Adj. EPS	**11.04**	**13.82**	**16.87**	**20.20**
DPS	**0.82**	**0.87**	**0.88**	**0.88**
Payout ratio	7.6%	6.2%	6.2%	5.1%
Shares outstanding	12,230	12,312	12,435	12,555

Income Statement - Quarterly	1Q26A	2Q26E	3Q26E	4Q26E
Revenue	**109,896A**	**117,416**	**125,032**	**140,366**
COGS	(41,271)A	(45,917)	(49,423)	(55,622)
Gross profit	**68,625A**	**71,499**	**75,608**	**84,744**
SG&A	(11,897)A	(13,730)	(13,945)	(16,679)
Adj. EBITDA	**52,929A**	**55,938**	**60,247**	**66,961**
D&A	(6,482)A	(8,136)	(9,478)	(11,038)
Adj. EBIT	**46,447A**	**47,802**	**50,769**	**55,924**
Net Interest	-	-	-	-
Adj. PBT	**84,163A**	**48,355**	**51,268**	**56,367**
Tax	(14,834)A	(6,958)	(7,363)	(8,227)
Minority Interest	-	-	-	-
Adj. Net Income	**38,663A**	**40,786**	**43,203**	**47,436**
Reported EPS	5.11A	2.76	2.91	3.24
Adj. EPS	**3.16A**	**3.32**	**3.50**	**3.83**
DPS	**0.21A**	**0.22**	**0.22**	**0.22**
Payout ratio	4.1%A	8.0%	7.5%	6.8%
Shares outstanding	12,238A	12,287	12,336	12,385

Balance Sheet & Cash Flow Statement	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	30,708	20,010	23,640	24,845
Accounts receivable	62,886	77,876	97,087	119,649
Inventories	0	0	0	0
Other current assets	112,444	109,348	54,423	35,382
Current assets	**206,038**	**207,234**	**175,150**	**179,877**
PP&E	246,597	406,718	640,938	896,055
LT investments	-	-	-	-
Other non current assets	142,646	210,540	215,195	220,663
Total assets	**595,281**	**824,492**	**1,031,283**	**1,296,595**
Short term borrowings	0	0	0	0
Payables	12,200	15,388	19,184	23,642
Other short term liabilities	90,545	107,523	134,047	165,198
Current liabilities	**102,745**	**122,911**	**153,231**	**188,840**
Long-term debt	46,547	77,501	74,501	82,001
Other long term liabilities	30,724	36,484	35,692	34,900
Total liabilities	**180,016**	**236,896**	**263,424**	**305,741**
Shareholders' equity	415,265	587,596	767,859	990,854
Minority interests	-	-	-	-
Total liabilities & equity	**595,281**	**824,492**	**1,031,283**	**1,296,595**
BVPS	**33.95**	**47.73**	**61.75**	**78.92**
y/y Growth	*30.0%*	*40.6%*	*29.4%*	*27.8%*
Net debt/(cash)	15,839	57,491	50,861	57,156
Cash flow from operating activities	**164,713**	**206,678**	**272,947**	**351,856**
o/w Depreciation & amortization	21,136	35,134	59,222	93,367
o/w Changes in working capital	618	(2,608)	587	828
Cash flow from investing activities	**(120,291)**	**(217,739)**	**(233,443)**	**(323,484)**
o/w Capital expenditure	(91,447)	(190,024)	(293,443)	(348,484)
as % of sales	*22.7%*	*38.6%*	*48.5%*	*47.4%*
Cash flow from financing activities	**(37,388)**	**486**	**(35,875)**	**(27,166)**
o/w Dividends paid	-	(10,684)	(10,943)	(11,048)
o/w Net debt issued/(repaid)	32,138	29,902	(3,000)	7,500
Net change in cash	**7,242**	**(10,698)**	**3,629**	**1,206**
Adj. Free cash flow to firm	**73,266**	**16,654**	**(20,496)**	**3,372**
y/y Growth	*0.7%*	*(77.3%)*	*(223.1%)*	*(116.5%)*

Ratio Analysis	FY25A	FY26E	FY27E	FY28E
Gross margin	59.7%	61.0%	60.5%	59.5%
EBITDA margin	44.3%	47.9%	51.0%	54.0%
EBIT margin	39.1%	40.8%	41.2%	41.3%
Net profit margin	33.5%	34.5%	34.7%	34.5%
ROE	36.5%	33.9%	30.9%	28.8%
ROA	25.8%	24.0%	22.6%	21.8%
ROCE	33.9%	30.1%	28.2%	27.1%
SG&A/Sales	11.6%	11.4%	10.5%	9.7%
Net debt/equity	0.0	0.1	0.1	0.1
P/E (x)	31.5	25.1	20.6	17.2
P/BV (x)	10.2	7.3	5.6	4.4
EV/EBITDA (x)	23.9	18.2	13.9	10.8
Dividend Yield	0.2%	0.2%	0.3%	0.3%
Sales/Assets (x)	0.8	0.7	0.7	0.6
Interest cover (x)	-	-	-	-
Operating leverage	109.2%	123.8%	105.8%	101.4%
Revenue y/y Growth	15.1%	22.3%	22.7%	21.6%
EBITDA y/y Growth	18.7%	32.2%	30.6%	28.8%
Tax rate	14.2%	15.6%	14.6%	14.7%
Adj. Net Income y/y Growth	15.6%	26.0%	23.3%	20.9%
EPS y/y Growth	17.7%	25.2%	22.1%	19.8%
DPS y/y Growth	38.9%	5.6%	1.4%	0.0%

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Alphabet Inc.: Summary of Financials

Income Statement - Annual	FY25A	FY26E	FY27E	FY28E
Revenue	**402,836**	**492,710**	**604,471**	**735,125**
COGS	(162,535)	(192,233)	(239,002)	(297,876)
Gross profit	**240,301**	**300,477**	**365,470**	**437,249**
SG&A	(46,718)	(56,251)	(63,490)	(71,669)
Adj. EBITDA	**178,585**	**236,076**	**308,382**	**397,140**
D&A	(21,136)	(35,134)	(59,222)	(93,367)
Adj. EBIT	**157,449**	**200,941**	**249,160**	**303,773**
Net Interest	-	-	-	-
Adj. PBT	**187,236**	**240,153**	**249,580**	**302,085**
Tax	(26,656)	(37,383)	(36,442)	(44,424)
Minority Interest	-	-	-	-
Adj. Net Income	**134,971**	**170,088**	**209,716**	**253,596**
Reported EPS	10.81	14.02	14.31	17.28
Adj. EPS	**11.04**	**13.82**	**16.87**	**20.20**
DPS	**0.82**	**0.87**	**0.88**	**0.88**
Payout ratio	7.6%	6.2%	6.2%	5.1%
Shares outstanding	12,230	12,312	12,435	12,555

Income Statement - Quarterly	1Q26A	2Q26E	3Q26E	4Q26E
Revenue	**109,896A**	**117,416**	**125,032**	**140,366**
COGS	(41,271)A	(45,917)	(49,423)	(55,622)
Gross profit	**68,625A**	**71,499**	**75,608**	**84,744**
SG&A	(11,897)A	(13,730)	(13,945)	(16,679)
Adj. EBITDA	**52,929A**	**55,938**	**60,247**	**66,961**
D&A	(6,482)A	(8,136)	(9,478)	(11,038)
Adj. EBIT	**46,447A**	**47,802**	**50,769**	**55,924**
Net Interest	-	-	-	-
Adj. PBT	**84,163A**	**48,355**	**51,268**	**56,367**
Tax	(14,834)A	(6,958)	(7,363)	(8,227)
Minority Interest	-	-	-	-
Adj. Net Income	**38,663A**	**40,786**	**43,203**	**47,436**
Reported EPS	5.11A	2.76	2.91	3.24
Adj. EPS	**3.16A**	**3.32**	**3.50**	**3.83**
DPS	**0.21A**	**0.22**	**0.22**	**0.22**
Payout ratio	4.1%A	8.0%	7.5%	6.8%
Shares outstanding	12,238A	12,287	12,336	12,385

Balance Sheet & Cash Flow Statement	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	30,708	20,010	23,640	24,845
Accounts receivable	62,886	77,876	97,087	119,649
Inventories	0	0	0	0
Other current assets	112,444	109,348	54,423	35,382
Current assets	**206,038**	**207,234**	**175,150**	**179,877**
PP&E	246,597	406,718	640,938	896,055
LT investments	-	-	-	-
Other non current assets	142,646	210,540	215,195	220,663
Total assets	**595,281**	**824,492**	**1,031,283**	**1,296,595**
Short term borrowings	0	0	0	0
Payables	12,200	15,388	19,184	23,642
Other short term liabilities	90,545	107,523	134,047	165,198
Current liabilities	**102,745**	**122,911**	**153,231**	**188,840**
Long-term debt	46,547	77,501	74,501	82,001
Other long term liabilities	30,724	36,484	35,692	34,900
Total liabilities	**180,016**	**236,896**	**263,424**	**305,741**
Shareholders' equity	415,265	587,596	767,859	990,854
Minority interests	-	-	-	-
Total liabilities & equity	**595,281**	**824,492**	**1,031,283**	**1,296,595**
BVPS	**33.95**	**47.73**	**61.75**	**78.92**
y/y Growth	*30.0%*	*40.6%*	*29.4%*	*27.8%*
Net debt/(cash)	15,839	57,491	50,861	57,156
Cash flow from operating activities	**164,713**	**206,678**	**272,947**	**351,856**
o/w Depreciation & amortization	21,136	35,134	59,222	93,367
o/w Changes in working capital	618	(2,608)	587	828
Cash flow from investing activities	**(120,291)**	**(217,739)**	**(233,443)**	**(323,484)**
o/w Capital expenditure	(91,447)	(190,024)	(293,443)	(348,484)
as % of sales	*22.7%*	*38.6%*	*48.5%*	*47.4%*
Cash flow from financing activities	**(37,388)**	**486**	**(35,875)**	**(27,166)**
o/w Dividends paid	(10,050)	(10,684)	(10,943)	(11,048)
o/w Net debt issued/(repaid)	32,138	29,902	(3,000)	7,500
Net change in cash	**7,242**	**(10,698)**	**3,629**	**1,206**
Adj. Free cash flow to firm	**73,266**	**16,654**	**(20,496)**	**3,372**
y/y Growth	*0.7%*	*(77.3%)*	*(223.1%)*	*(116.5%)*

Ratio Analysis	FY25A	FY26E	FY27E	FY28E
Gross margin	59.7%	61.0%	60.5%	59.5%
EBITDA margin	44.3%	47.9%	51.0%	54.0%
EBIT margin	39.1%	40.8%	41.2%	41.3%
Net profit margin	33.5%	34.5%	34.7%	34.5%
ROE	36.5%	33.9%	30.9%	28.8%
ROA	25.8%	24.0%	22.6%	21.8%
ROCE	33.9%	30.1%	28.2%	27.1%
SG&A/Sales	11.6%	11.4%	10.5%	9.7%
Net debt/equity	0.0	0.1	0.1	0.1
P/E (x)	31.7	25.3	20.7	17.3
P/BV (x)	10.3	7.3	5.7	4.4
EV/EBITDA (x)	24.1	18.4	14.1	10.9
Dividend Yield	0.2%	0.2%	0.3%	0.3%
Sales/Assets (x)	0.8	0.7	0.7	0.6
Interest cover (x)	-	-	-	-
Operating leverage	109.2%	123.8%	105.8%	101.4%
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Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Alphabet (GOOG, GOOG US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 28, 2004. All share prices are as of market close on the previous business day.

Date	Rating	Price ($)	Price Target ($)
26-Jul-23	OW	122.79	150
13-Dec-23	OW	133.64	160
31-Jan-24	OW	153.05	165
26-Apr-24	OW	157.95	200
24-Jul-24	OW	183.60	208
30-Oct-24	OW	171.14	212
18-Dec-24	OW	197.12	232
05-Feb-25	OW	207.71	220
08-Apr-25	OW	149.24	180
25-Apr-25	OW	161.47	195
11-Jul-25	OW	178.70	200
24-Jul-25	OW	191.51	232
03-Sep-25	OW	211.99	260
27-Oct-25	OW	260.51	300
30-Oct-25	OW	275.17	340
12-Dec-25	OW	313.70	385
05-Feb-26	OW	333.34	395

Alphabet Inc. (GOOGL, GOOGL US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 17, 2015. All share prices are as of market close on the previous business day.

Date	Rating	Price ($)	Price Target ($)
26-Jul-23	OW	122.21	150
13-Dec-23	OW	132.52	160
31-Jan-24	OW	151.46	165
26-Apr-24	OW	156.00	200
24-Jul-24	OW	181.79	208
30-Oct-24	OW	169.68	212
18-Dec-24	OW	195.42	232
05-Feb-25	OW	206.38	220
08-Apr-25	OW	146.75	180
25-Apr-25	OW	159.28	195
11-Jul-25	OW	177.62	200
24-Jul-25	OW	190.23	232
03-Sep-25	OW	211.35	260
27-Oct-25	OW	259.92	300
30-Oct-25	OW	274.57	340
12-Dec-25	OW	312.43	385
05-Feb-26	OW	333.04	395

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